Annual Leave Carry-Forward Policy and Procedure

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Prepared by: HR and Operation Manager
Approved by: Dr Aisyah Zainordin (CEO)
Applies to: All employees covered by the Employment Act 1955

1. Purpose

This document sets out how unused annual leave (AL) at the end of the leave year is carried forward, how many days may be carried forward, and when carried-forward days expire. It is written to comply with the Employment Act 1955 (the Act).

2. Scope

2.1 This policy applies to all confirmed and probationary employees with an AL balance on 31st of December 2026.

2.2 It covers **AL only**. No other leave type (sick leave, hospitalisation leave, replacement leave, or any other leave) can be carried forward. Such leave lapses at the end of the leave year.

3. Legal Basis

3.1 Section 60E of the Act sets the minimum annual leave by length of service and requires the employee to be allowed to take it within 12 months after each 12 months of continuous service.

3.2 The Act does not require, and does not cap, carry-forward of leave. The carry-forward rule in this document is a company policy that operates on top of the Act.

3.3 Nothing in this policy reduces any right given to employees by the Act. If this policy conflicts with the Act, the Act prevails.

4. Leave Entitlement

Each employee's AL entitlement is as stated in their offer letter and tracked in the Mysyarikat. The leave year runs from 1st of January to 31st of December. This document covers carry-forward only.

5. Carry-Forward Rules

5.1 Employees may carry forward their unused AL balance as at 31 December, up to a maximum of **5 days**. This rule applies from the 31 December 2026 year-end.

5.2 Carried-forward days must be **taken** on or before **31 December** of the year they are carried forward to. Example: days carried forward from 31 December 2026 must be taken by 31 December 2027.

5.3 Balance above 5 days is forfeited on 31 December, subject to Clause 6.

5.4 Carried-forward days not taken by 31 December of the year they are carried forward to are forfeited on that date, subject to Clause 6.

5.5 Carried-forward days are used first when an employee applies for leave in the new year, then the current year's entitlement.

5.6 Half-day balances (0.5 day) are carried forward as they are, within the applicable cap.

6. Protection of Employee Rights

6.1 Leave is forfeited only if the employee had a fair opportunity to take it.

6.2 The company will make sure each employee can take at least their statutory minimum leave within the 12-month period required by the Act.

6.3 **Statutory minimum:** forfeiture under Clause 5 applies first to days above the employee's statutory minimum. Days within the statutory minimum are not forfeited before the end of the 12-month period allowed by Section 60E for taking that leave, counted from the employee's service anniversary.

6.4 All AL requests and their status are kept in the Mysyarikat.

7. Calculation Examples

AL balance on 31 Dec	Days carried forward (cap 5)	Days forfeited on 31 Dec
2 days	2	0
5 days	5	0
6 days	5	1
12 days	5	7
16 days	5	11

8. Cash Conversion and Termination

8.1 AL is not converted to cash while the employee is still employed.

8.2 When employment ends for any reason, accrued and unused AL (including valid carried-forward days) is paid as required by the Act and the employment contract. Calculation: **ordinary daily rate of pay × number of unused days**.

8.3 If an employee leaves before the carry-forward deadline with a carried-forward balance, that balance is included in the payment under Clause 8.2.

9. Responsibilities

Party	Responsibility
Employee	Check leave balance, plan and apply for leave early, use leave before the deadline
Branch manager	Approve leave fairly and plan workload so the team can take leave
HR	Update balances, send reminders, calculate carry-forward, keep records

10. Procedure and Yearly Timeline

When	Action	Who
31 October 2026	Extract AL balances for all employees	HR
November 2026	Send written notice: balance, carry-forward amount and deadlines	HR
1 December 2026	Second reminder to employees with high balances, copy to managers	HR
31 December 2026	Close current-year balances	HR
1 to 10 January 2027	Update carried-forward balances and email confirmation to each employee	HR
September & December 2027	Reminder: carried-forward balance expires on 31 December	HR
1 January 2028	Forfeit unused carried-forward balance (except protected days under Clause 6)	HR

HR keeps copies of all notices and reminders.

11. Special Cases

11.1 If an employee is on sick leave, maternity leave or other approved leave that stops them from taking carried-forward AL before the carry-forward deadline, the deadline is **automatically extended** by the number of days of that absence.

11.2 Any other exception requires written approval from HR Manager.

12. Review

This document is reviewed yearly, and whenever the Employment Act or related regulations are amended.